

*them, thinking about what should be done differently in the future and then adding that new knowledge to the procedures manual are all essential to our improvement.*

- Recognize that you will certainly make mistakes and have weaknesses; so will those around you and those who work for you. What matters is how you deal with them. If you treat mistakes as learning opportunities that can yield rapid improvement if handled well, you will be excited by them.*
- If you don't mind being wrong on the way to being right, you will learn a lot.*

If improvement through mistakes is one of the two core concepts in *Principles*, “radical transparency” is the other. Employees are encouraged to be extremely transparent, not tolerate dishonesty, criticize each other without reservation, or “let loyalty stand in the way of truth and openness.” Managers are instructed not to talk about subordinates unless they are in the room. Virtually all meetings at Bridgewater are taped and made available to employees. Dalio leaves little doubt about his views on the topic of openness and honesty. For example, Management Rule #11 in *Principles* states: “Never say anything about a person you wouldn't say to him directly. If you do, you're a slimy weasel . . . ”

Many of the rules in *Principles* actually are well aligned with the key characteristics required for trading success. As one example, the following admonition from *Principles* about the importance of accepting responsibility would fit equally well in a manual for successful trading:

People who blame bad outcomes on anyone or anything other than themselves are behaving in a way that is at variance with reality and subversive to their progress.

I interviewed Dalio at his Bridgewater office, which is cantilevered over the Saugatuck River, with views of the surrounding woods, providing a bucolic work setting. Dalio tends to think in terms of interconnections rather than linearly, which can lead to rambling answers, as he readily acknowledges, “I see things in complex ways, and I have a problem communicating my way of seeing to others.” As the allotted time for the interview approached its end, Dalio abruptly pronounced, “Okay, we're done.”